

Submission ACCT1-PS1-SUB06

Question ACCT1-PS1-Q01

notation changes halfway:

1. Dr Cash 466; Cr Service Revenue 466
2. Dr Supplies 465; Cr Accounts Payable 465
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 466/Cr Revenue 466; Dr Supplies 465/Cr A/P 465; A=L+E remains balanced (please interpret)

Question ACCT1-PS1-Q02

notation changes halfway:

1. Monthly revenue $\approx 1044/12 \approx 87$
2. Dr Unearned Revenue 87; Cr Service Revenue 87
3. Remaining liability ≈ 957

marks, subscripts, and units are mixed up

result written as: Dr Unearned Revenue 87; Cr Revenue 87; liability=957 (please interpret)

Question ACCT1-PS1-Q03

notation changes halfway:

1. Assets $\approx$ Liabilities + Equity
2. Equity $\approx 1848-771 \approx 1077$
3. The equation must balance after every recorded transaction.

marks, subscripts, and units are mixed up

result written as: equity=\$1077; assets=liabilities+equity (please interpret)

Question ACCT1-PS1-Q04

notation changes halfway:

1. Current ratio $\approx 1765/1101 \approx 1.60$
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.

marks, subscripts, and units are mixed up

result written as: current ratio=1.60; assets exceed liabilities if ratio>1 (please interpret)

Question ACCT1-PS1-Q05

notation changes halfway:

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.

marks, subscripts, and units are mixed up

result written as: record unearned revenue first; recognize revenue as performance occurs (please interpret)

Question ACCT1-PS1-Q06

notation changes halfway:

1. Dr Cash 662; Cr Service Revenue 662

2. Dr Supplies 431; Cr Accounts Payable 431

3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 662/Cr Revenue 662; Dr Supplies 431/Cr A/P 431; $A=L+E$ remains balanced (please interpret)